Preliminary

Northline Rail Programme: October 2026 SteerCo

Programme status, schedule recovery options and decisions needed

Northline Transport Authority | 4 November 2026 | Programme Management Office

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Agenda

01	Summary and decisions needed	10 min
02	Schedule: critical path and handover date	10 min
03	Risk: two risks escalated to red	10 min
04	Cost: £40m increase since Gate 3	10 min
05	Workstream status	5 min
06	Recovery options and recommendation	15 min

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

The programme is six weeks behind its re-baselined date, and three decisions this month determine whether it recovers

Handover has moved from 3 April to 15 May 2027

- The utilities diversion at Kings Cross finished six weeks late
- Systems integration is now on the critical path, with no float

Forecast cost is £1,420m, £40m over the Gate 3 budget

- Utilities (+£22m) and signalling (+£15m) explain most of the increase
- Contingency still covers it, but falls to 3% of remaining work against a 5% floor

Two of the top ten risks moved into red this period

- Signalling software maturity: the supplier missed drops 3 and 4
- Christmas possessions: Network Rail has confirmed 2 of 5 weekends

We recommend running systems integration in parallel with fit-out (Option B)

- It costs £14m from contingency and is the only option that holds the May date
- It needs SteerCo approval by 14 November to keep the test windows

1. Re-baselined at Gate 3, March 2026.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

The programme is six weeks behind its re-baselined date, and three decisions this month determine whether it recovers

Area	Status	Trend	Summary
Schedule	Red	▼	Forecast handover moved from **3 Apr to 15 May 2027**. The utilities diversion ran six weeks late; systems integration is now on the critical path.
Cost	Amber	▶	EAC of **£1,420m** against a £1,380m budget. Contingency covers the gap but falls to 3% of remaining work, below the 5% floor.
Risk	Red	▼	Two of the top ten risks moved into red: signalling software maturity and Christmas possessions. Neither has a funded mitigation.
Stakeholders	Green	▶	The operator and Network Rail still back the May date. Sponsor briefing held on 22 October.

● On track ● At risk, recoverable ● Off track, decision needed ▼ Worse ▶ Unchanged ▲ Better

Look-ahead: key milestones in the next 90 days

Milestone	Baseline	Forecast	Variance	Status
Signalling software drop 4 accepted	30 Oct	8 Nov	**+9 days**	Red
Test windows confirmed by operator	1 Nov	14 Nov	**+13 days**	Red
Station 3 fit-out complete	12 Dec	19 Dec	+7 days	Amber
Systems integration starts	6 Jan	6 Jan	On plan	Green

Decisions needed from the SteerCo

1. **Approve £14m contingency drawdown for parallel systems integration**
   Owner: SRO **Due:** 14 Nov
2. **Confirm the December possession plan with Network Rail**
   Owner: Interface lead **Due:** 21 Nov
3. **Assign one owner for systems integration risk across client and contractor**
   Owner: Commercial director **Due:** 30 Nov

Approving the £14m drawdown by 14 November protects the May 2027 handover date

1. Re-baselined at Gate 3, March 2026. Trend compares with the September report.
Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

02

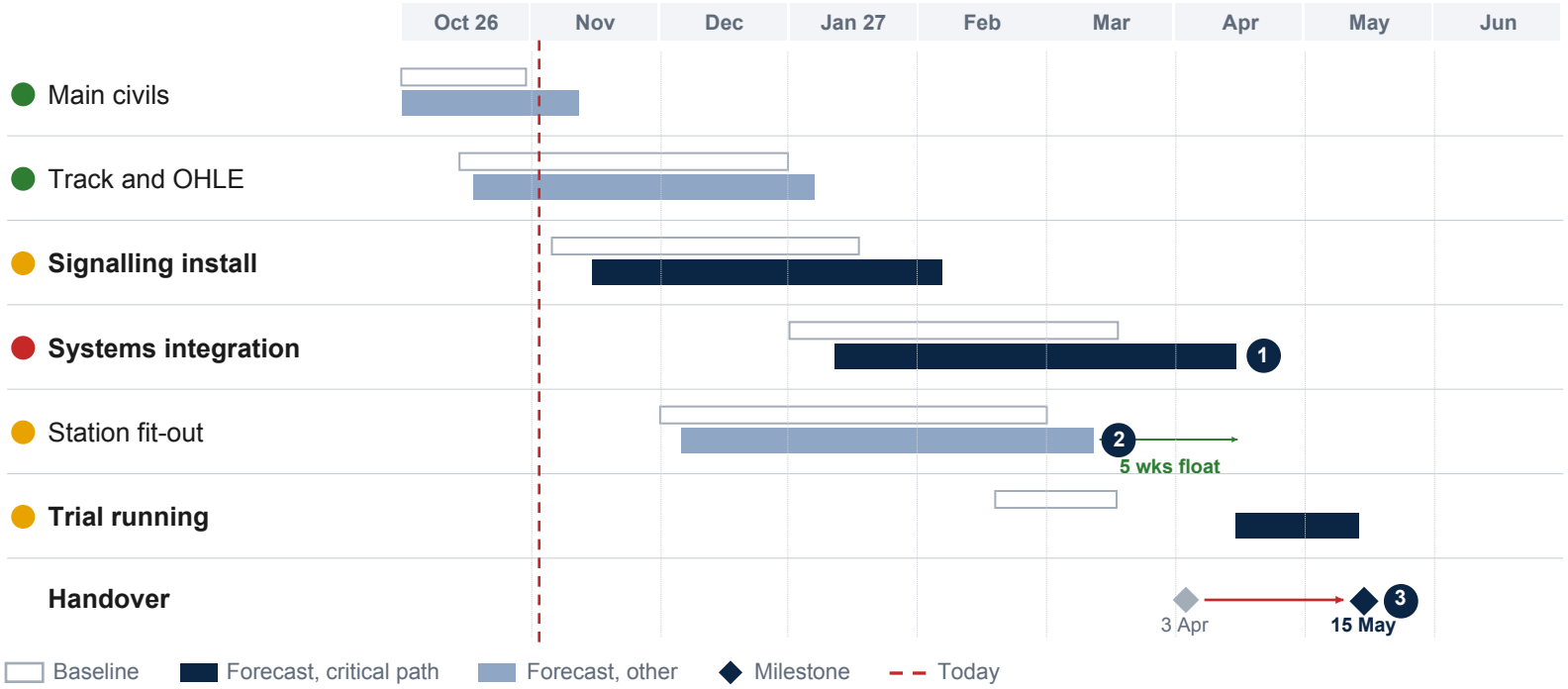
Schedule

Critical path, float and the handover date

Systems integration is now the critical path; handover holds only if test windows are confirmed by 14 November

Integrated schedule, baseline vs current forecast

Level 2 programme schedule, October 2026 to June 2027



What the schedule shows

1. Systems integration now drives handover. Its finish has slipped four weeks, to mid-April.
2. Station fit-out has five weeks of float, so it can move to make room for testing.
3. The 15 May date holds only if the operator confirms test windows by 14 November.

Next steps

- Operator to confirm test windows (14 Nov)
- Delivery partner to issue a resequenced fit-out plan (21 Nov)
- PMO to re-run schedule risk analysis on the new logic (28 Nov)

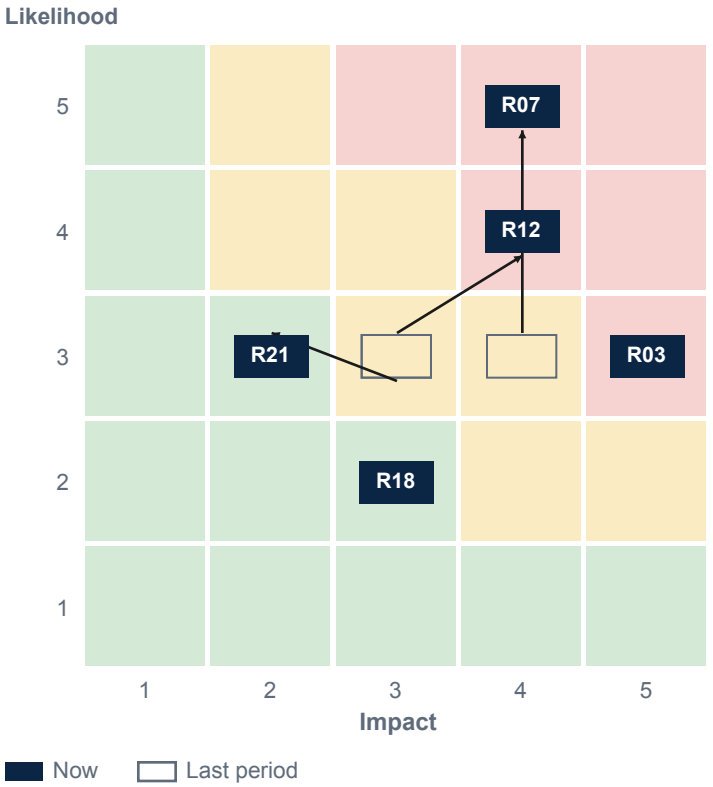
1. Baseline is the Gate 3 re-baseline (March 2026). Float is total float on the Level 2 schedule.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Two risks moved into the red zone this period, and neither has a funded mitigation yet

Top risks, current position

Likelihood x impact, October 2026



ID	Risk	Owner	Score		Mitigation and status
R07	Signalling software maturity: supplier missed drops 3 and 4	S. Novak	**12 → 20**	▲	Recovery plan due 8 Nov; independent code review proposed (unfunded)
R12	Christmas possessions: 3 of 5 weekends unconfirmed	Interface lead	**9 → 16**	▲	Escalated to Network Rail route director; decision 21 Nov
R03	Utilities diversion claims from main contractor	R. Dube	**15 → 15**	▶	£6-9m exposure; valuation agreed, settlement talks under way
R18	Driver training capacity for trial running	K. Ahmed	**6 → 6**	▶	Second simulator booked from January
R21	Late design changes at Station 3	A. Silva	**9 → 6**	▼	Design freeze agreed 15 Oct; change board in place

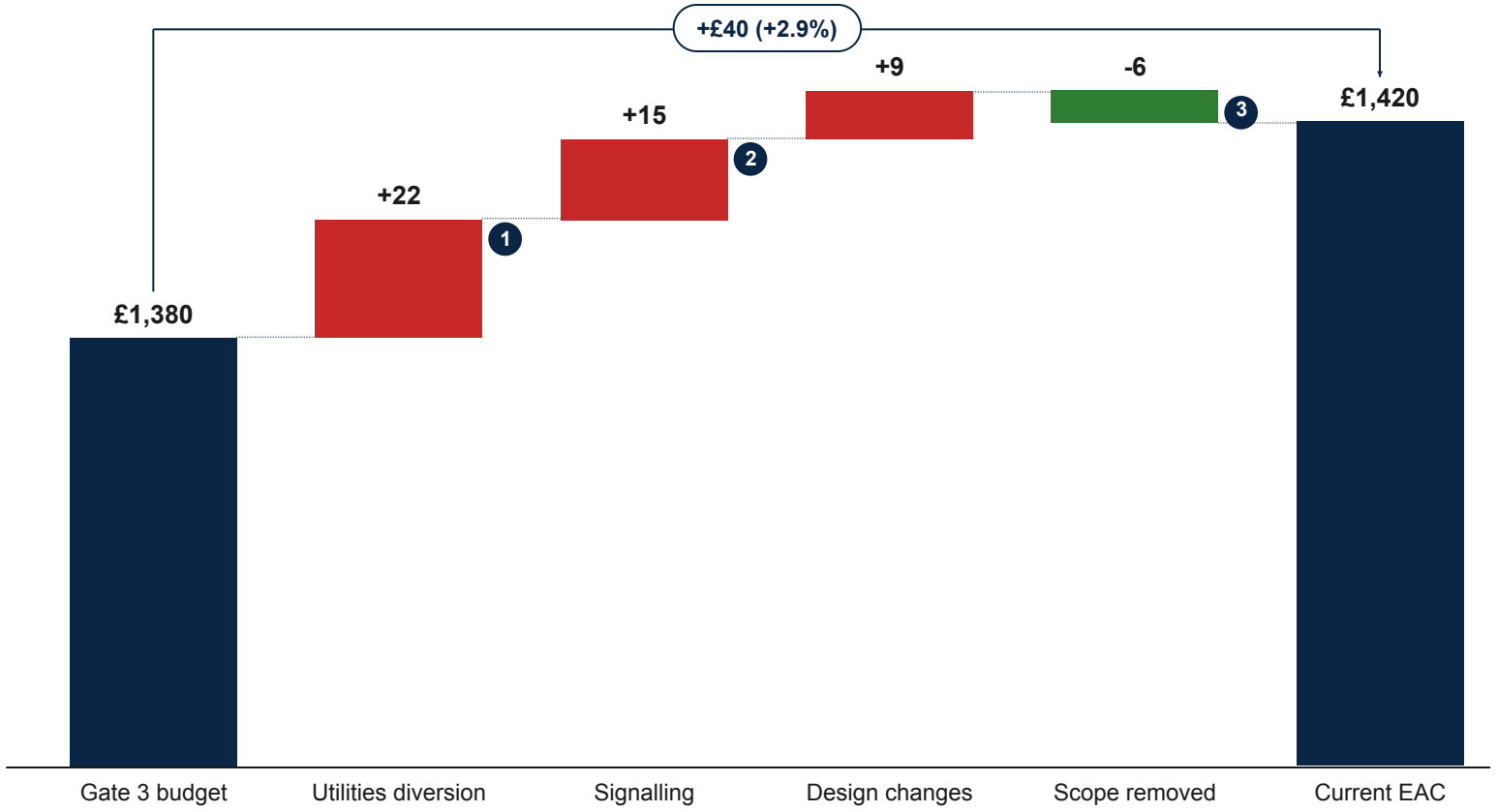
▲ Score rising ▶ Unchanged ▼ Score falling

1. Score = likelihood x impact on a 5 x 5 scale. Red is 15 or more; amber 8 to 14; green 7 or less.
Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Forecast cost has risen £40m since Gate 3, driven mostly by utilities and signalling

Bridge from Gate 3 budget to current forecast

£m, nominal, October 2026



What drives the increase

1. Utilities added **£22m**: the six-week overrun at Kings Cross and the contractor's prolongation claim.
2. Signalling added **£15m** after two missed software drops.
3. Deferring the Station 5 canopy saves **£6m**, but the sponsor has not approved it.

Open points

- £12m of unquantified claims sit outside the EAC
- Scope removal needs sponsor approval

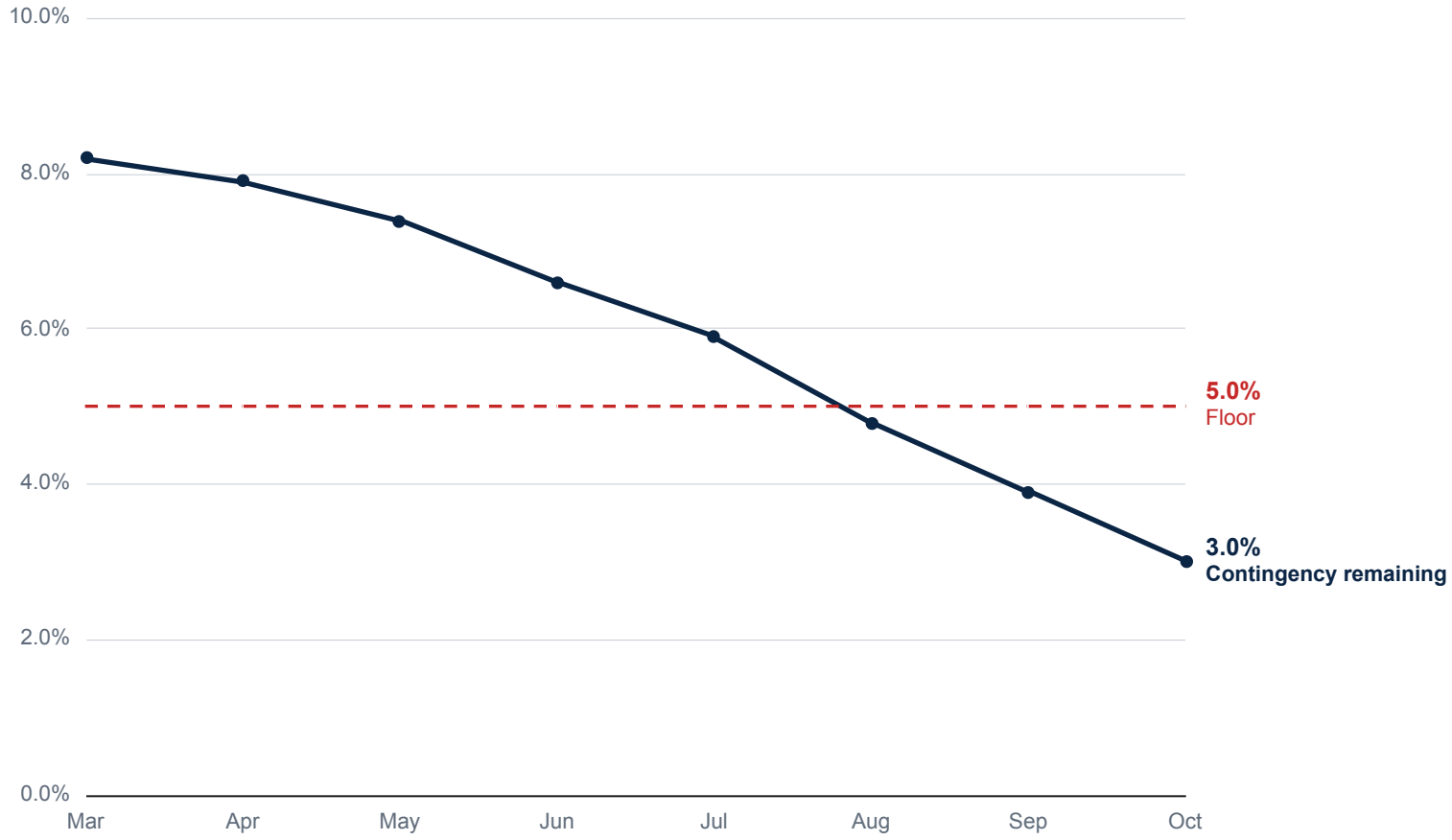
1. Vertical axis starts at £1,300m.
2. EAC = estimate at completion; excludes £12m of unquantified claims.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Contingency has fallen faster than work has been completed since Gate 3

Contingency remaining vs floor

% of remaining work, month end



What the trend shows

1. Contingency crossed the 5% floor in August and has fallen about 0.9 points a month since.
2. At this rate it runs out by February 2027, before trial running starts.

1. Floor is the minimum contingency set at Gate 3: 5% of remaining work.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Four of seven workstreams are on track; signalling and systems integration need SteerCo decisions

6 ●
Weeks behind baseline
Handover forecast 15 May 2027

0.91 ●
Schedule performance (SPI)
Down from 0.94 in September

0.97 ●
Cost performance (CPI)
Stable for three periods

£41m ●
Contingency remaining
3.0% of remaining work; floor is 5%

Workstream	Lead	Schedule	Cost	Risk	Trend	Key issue and next step
Civils	J. Patel	●	●	●	▶	Complete; contractor claims being closed out
Track and OHLE	M. Okafor	●	●	●	▶	Night-shift productivity 8% below plan; extra crew from November
Signalling	S. Novak	●	●	●	▼	Software drop 4 missed; recovery plan due 8 Nov
Systems integration	L. Chen	●	●	●	▼	Test windows not confirmed; decision needed 14 Nov
Stations	A. Silva	●	●	●	▲	Fit-out resequenced to protect float
Operations readiness	K. Ahmed	●	●	●	▶	Driver training on plan
Commercial	R. Dube	●	●	●	▶	Utilities claim valued at £6-9m

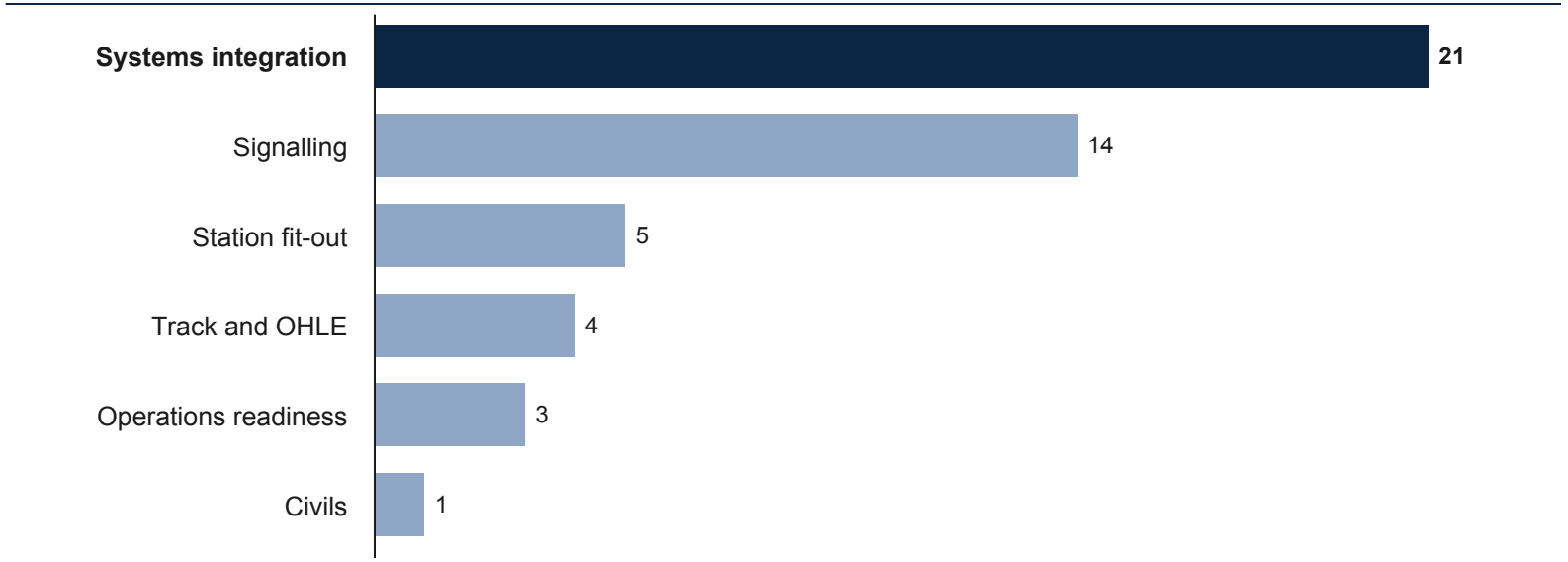
● On track ● At risk ● Off track ▲ Improving ▶ Stable ▼ Worsening

1. Green: on track. Amber: at risk but recoverable within tolerance. Red: outside tolerance, needs a decision. SPI and CPI are cumulative earned-value indices.
Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Signalling and systems integration account for nearly three-quarters of the remaining schedule risk

Contribution to schedule risk by workstream

Working days between P50 and P80 finish



Implication

1. Mitigation money should go to systems integration and signalling first; together they explain 35 of 48 days.
2. Fit-out and track risk is small enough to manage within the workstreams.

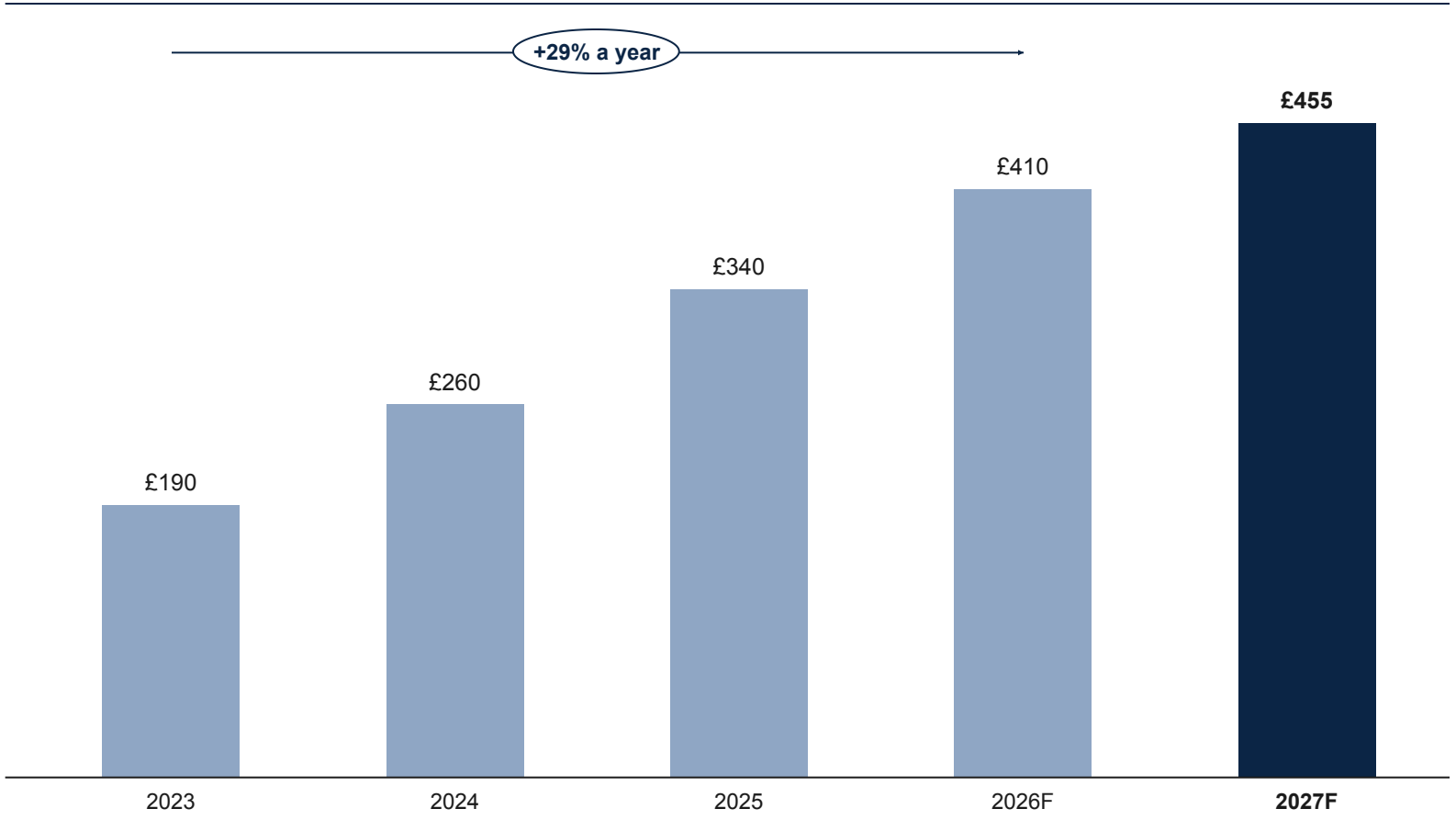
1. P80 minus P50 finish date from the October schedule risk analysis (1,000 iterations).

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Programme spend has grown 29% a year since 2023, and 2027 is the peak year

Annual capital spend

£m, nominal



What this means

1. 2027 needs £455m, the highest of any year; funding is confirmed for £430m.
2. The £25m gap must be closed before the Q1 2027 budget round.

1. 2026 and 2027 are forecasts.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

The three recovery options trade cost against the May 2027 handover date

A: Re-baseline to September 2027

- No extra spend now
- Revenue service slips by four months
  - Lost fares of about £18m
- Needs a new Gate 3 approval

Extra cost now
£0

Handover
Sept 2027

Contingency after
3.0%

B: Run integration in parallel with fit-out

- £14m from contingency
- Holds the 15 May 2027 handover
- Contingency drops below the 5% floor
  - Sponsor must approve the breach

Extra cost now
£14m

Handover
15 May 2027

Contingency after
2.0%

C: Phased opening

- Open three of five stations in May
- £6m of temporary works
- Operator has not agreed to it
- Two openings mean two sets of assurance work

Extra cost now
£6m

Handover
May 2027 (partial)

Contingency after
2.6%

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Option B scores highest overall; it costs £14m now but is the only option that protects the May handover

Long list (7) → **Screened (3)** → **Evaluated** → **Recommendation**

	Weight	**Option A** Re-baseline to Sept 2027	**Option B** Parallel integration (+£14m)	**Option C** Phased opening
Protects May handover	30%	◔	●	◑
Cost to complete	25%	●	◑	◕
Deliverability	20%	◕	◕	◑
Commercial risk	15%	◕	◕	◔
Stakeholder support	10%	◔	◕	◑
Weighted score		**2.5**	**3.0**	**2.1**

○ Weak ◔ ◑ ◕ ● Strong

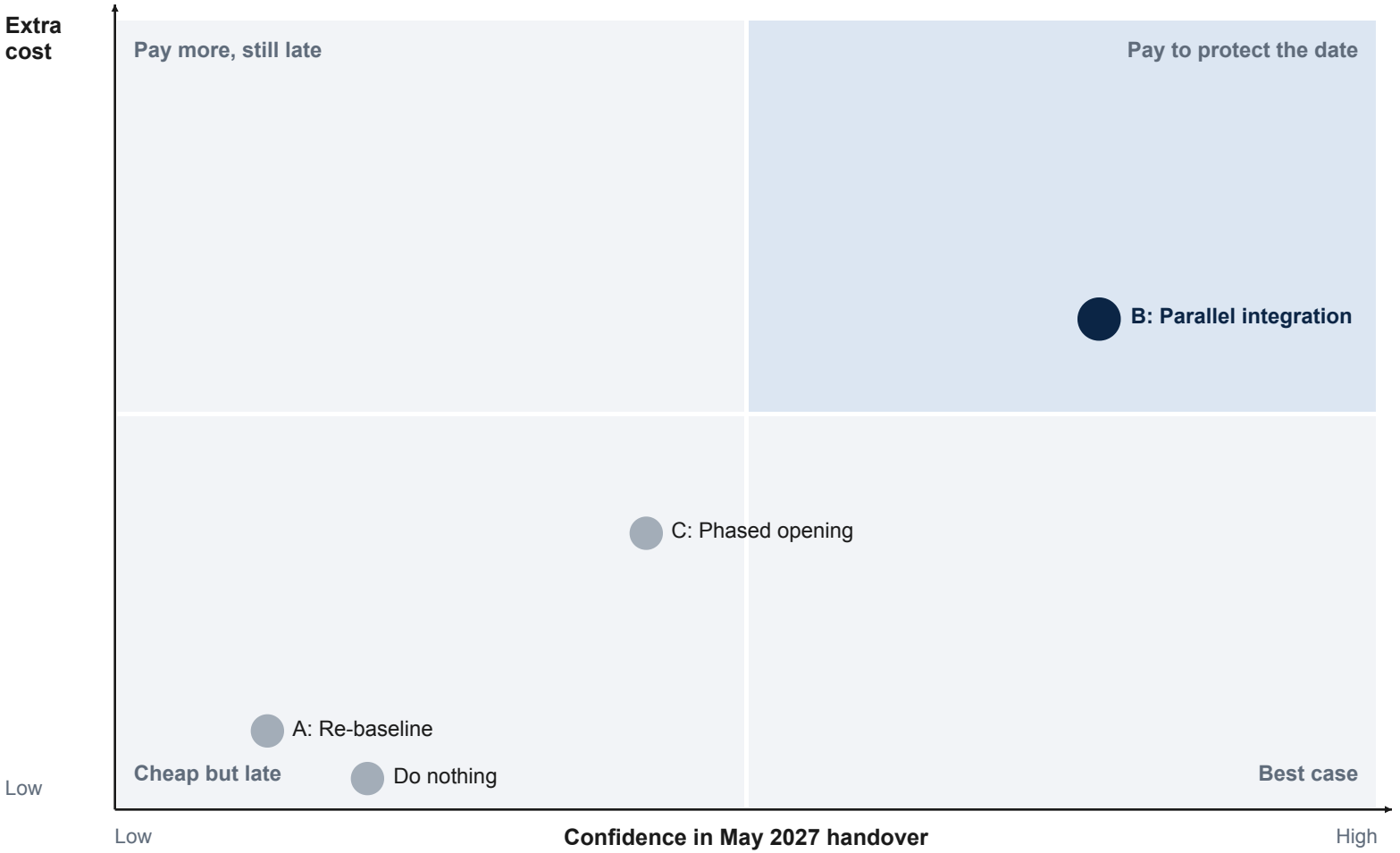
Rationale

- Only option that keeps the 15 May 2027 handover
- £14m is within remaining contingency, though it takes the balance below the 5% floor
  - Floor breach needs sponsor sign-off
- The delivery partner has run parallel integration on two comparable schemes
- Option A is cheaper but delays revenue service by four months

We recommend Option B: approve £14m to run systems integration in parallel with fit-out

1. Scores are the PMO's assessment with the delivery partner, reviewed by the client commercial team on 28 October.
Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Option B sits in the only quadrant that keeps both the date and an acceptable cost



Reading the matrix

1. No option sits in the best-case quadrant.
2. B buys confidence in the date for £14m; A and C save money but miss May.

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

Milestones due before the next SteerCo

Milestones due by 4 December 2026

Milestone	Owner	Due	Status	Comment
Signalling software drop 4 accepted	S. Novak	8 Nov	🔴	Supplier confirms drop on 6 Nov
Test windows confirmed by operator	L. Chen	14 Nov	🔴	Depends on SteerCo decision 1
December possession plan agreed	Interface lead	21 Nov	🟡	Route director meeting on 18 Nov
Resequenced fit-out plan issued	A. Silva	21 Nov	🟢	Draft shared with operator
Schedule risk analysis re-run	PMO	28 Nov	🟢	New logic loaded

🟢 On track 🟡 At risk 🔴 Off track

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

The SteerCo needs to make three decisions by 30 November to hold the May handover

#	Decision required	Recommendation and impact	Owner	By
1	**Approve £14m contingency drawdown for parallel systems integration**	Approve. It is the only option that holds 15 May 2027; contingency falls to 2% of remaining work	SRO	14 Nov
2	**Confirm the December possession plan with Network Rail**	Escalate to route director; without three more weekends, signalling slips a further three weeks	Interface lead	21 Nov
3	**Assign one owner for systems integration risk**	Commercial director to own it, with a joint client and contractor risk budget	Commercial director	30 Nov

Source: Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.